Appendix A
Reporting and Interpreting Investments in Other Corporations

ANSWERS TO QUESTIONS

1. A short-term investment is one that meets the two tests of (1) ready marketability and (2) management's intention to convert it to cash in the short run. In contrast, a long-term investment is one that does not meet both of these tests. A short-term investment is classified as a current asset on the balance sheet, while long-term investments are reported as noncurrent assets.

2. For passive investments in bonds, companies may report the investment at amortized cost if the intent is to hold the bonds until maturity. Otherwise, the investments in bonds are to be accounted for using the fair value method with the investments adjusted up or down to fair value at year end. If management's intent is to trade the bond securities actively, the trading securities are classified as current assets with unrealized gains/losses reported on the income statement. If the intent is not to trade the securities actively or hold to maturity, the available-for-sale securities are classified as either current or noncurrent assets with unrealized gains/losses reported on the statement of comprehensive income. Passive equity investments are those in which the investor has less than 20% of the outstanding shares of voting common stock, unless there is evidence to the contrary. These investments are treated like trading securities, but may be reported as current or noncurrent assets.

   When a company can exert significant influence over the investing and financing decisions of another company, the equity method is used to account for and report the investment. In applying the equity method, considered a "one-line consolidation," the percentage share of dividends declared by the affiliate company reduces the investment account; the investor's percentage share of the affiliate's net income or loss is included as income or loss on the investor's income statement with an offsetting change in the investment account. The ability to exert significant influence over an affiliate company is presumed if the investor owns between 20% and 50% of the outstanding shares of voting common stock.

   When an investor owns over 50% of the outstanding shares of voting common stock, the investor has control over the affiliate. Consolidated statements are prepared.

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3. Only bonds that management has the plans and ability to hold until maturity can be reported in the held-to-maturity portfolio. The investments in held-to-maturity bonds are reported on the balance sheet at amortized cost, not fair value, at the end of each year and are classified as current or noncurrent assets, depending on the maturity date.

4. Under the fair value method, revenues are measured by the investor company when (1) the other company declares a cash dividend on equity securities or interest revenue is earned on debt securities, (2) unrealized gains and losses are recorded on trading securities (debt instruments) and passive investments in equity securities, and (3) gains and losses occur on sales of available-for-sale securities in debt instruments.

5. Under the equity method, investment revenue is measured on a proportionate basis by the investor company when earnings are reported by the affiliate company, rather than when the dividends are declared. This is because the equity method is applied when the investor company has a sufficient number of the shares of voting stock of the other company to exercise a significant influence. When the investor can exercise significant influence over the operating and financing policies of the affiliate, it means that cash dividends of the affiliate can be obtained, almost at will, by the investor company. Thus, when the affiliate company reports income, the investor company should record a proportionate share of that income as investment revenue because it is considered earned under the requirements of the revenue principle; however, any dividends declared by the affiliate are not considered revenue.

6. Under the equity method, the investor's share of dividends declared by the affiliate company (the other company) are not recorded as revenue because, when an investor can exercise significant influence over the dividend policies of another corporation, it means that cash dividends of the affiliate can be obtained, almost at will, by the investor company. To record the dividends as revenue would involve double-counting because the investor company has already shown, as revenue earned, its proportionate share of the earnings of the affiliate company. Because the dividends from the affiliate company are paid out of those earnings, to record them as revenue by the investor company would be double-counting. As a consequence, under the equity method, the share of dividends declared by the affiliate company is debited to Cash and credited to the Investment account.

7. The identifiable assets and liabilities of the acquired company are recorded at their fair value on the date of acquisition. This is called the acquisition method.

8. Goodwill is only recorded when one company purchases a controlling interest in another. Goodwill is equal to the purchase price minus the fair value of the

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identifiable assets less liabilities of the acquired company. The goodwill must be recognized as an asset and is not expensed unless impaired.

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MULTIPLE CHOICE

1. b
2. a
3. b
4. d
5. c
6. c
7. b
8. c
9. c

Authors' Recommended Solution Time

(Time in minutes)

Mini-exercises		*Exercises*		*Problems*		*Alternate Problems*		*Cases and Projects*	
No.	*Time*	*No.*	*Time*	*No.*	*Time*	*No.*	*Time*	*No.*	*Time*
1	3	1	10	1	20	1	20	1	20
2	3	2	15	2	30	2	30	2	15
3	6	3	20	3	40	3	40	3	30
4	6	4	20	4	40	4	40	4	20
5	6	5	20	5	40	5	40	5	10
6	6	6	20	6	20	6	20	6	10
7	6	7	25	7	20	7	20	7	*
8	6	8	10	8	20	8	20		
9	5	9	10					Continuing Case	
10	5							1	30

* Due to the nature of this project, it is very difficult to estimate the amount of time students will need to complete the assignment. As with any open-ended project, it is

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possible for students to devote a large amount of time to these assignments. While students often benefit from the extra effort, we find that some become frustrated by the perceived difficulty of the task. You can reduce student frustration and anxiety by making your expectations clear. For example, when our goal is to sharpen research skills, we devote class time to discussing research strategies. When we want the students to focus on a real accounting issue, we offer suggestions about possible companies or industries.

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MINI-EXERCISES

MA–1.

D 1. Less than 20 percent voting stock ownership.
D 2. Current fair value.
C 3. More than 50 percent voting stock ownership.
B 4. At least 20 percent but not more than 50 percent voting stock ownership.
A 5. Bonds held to maturity.
A 6. Original cost less any amortization of premium or discount with the purchase.
B 7. Original cost plus proportionate part of the income of the affiliate less proportionate part of the dividends declared by the affiliate.

MA–2.

Investments (+A)*.....	900,000	
Cash (–A)		900,000

*Since the exercise does not state the intent of the purchaser, the bonds may be classified as

- Held-to-maturity – if the intent is to hold the bonds until the maturity date
- Trading – if the intent is to hold the bonds for a short time in a trading capacity
- Available-for-sale – if the intent is not to hold the bonds until maturity or in a trading capacity.

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MA-3

December 31, 2024:

Unrealized loss (–OCI, –SE)	25,000	
Investments (–A)		25,000

July 1, 2025:

Investments (+A)	27,000	
Unrealized gain (+OCI, +SE)		27,000
Unrealized gain (–OCI, –SE)	2,000	
Gain on sale of investments (+R, +SE)		2,000
Cash (+A)	802,000	
Investments (–A)		802,000

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2024	$775,000	–	$800,000	=	–$25,000
2025	802,000	–	775,000	=	+27,000
			Net balance in OCI		+$ 2,000

MA-4

December 31, 2024:

Unrealized loss (+E, –SE)	25,000	
Investments (–A)		25,000

July 1, 2025:

Investments (+A)	27,000	
Unrealized gain (+R, +SE)		27,000
Cash (+A)	802,000	
Investments (–A)		802,000

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2024	$775,000	–	$800,000	=	–$25,000
2025	802,000	–	775,000	=	+27,000

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MA–5.

	Balance Sheet			Income Statement		
Transaction Date	Assets	Liabilities	Stockholders' Equity	Revenues/ Gains	Expenses/ Losses	Net Income
12/31/24	–25,000		–25,000			
7/1/25	+27,000		+27,000			
			-2,000 +2,000	+2,000		+2,000
	+802,000 –802,000					

MA–6.

	Balance Sheet			Income Statement		
Transaction Date	Assets	Liabilities	Stockholders' Equity	Revenues/ Gains	Expenses/ Losses	Net Income
12/31/24	–25,000		–25,000		+25,000	–25,000
7/1/25	+27,000		+27,000	+27,000		+27,000
	+802,000 –802,000					

MA –7

December 2:

Investments (+A)	93,750	
Cash (–A)		93,750

(6,250 shares x $15 per share); 12.5% ownership of voting stock

December 15:

Dividend receivable (+A)	12,500	
Dividend revenue (+R, +SE)		12,500

(6,250 shares x $2 = $12,500)

December 31:

Unrealized loss (+E, –SE)	18,750	
Investments (–A)		18,750

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry

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Current	$75,000 (6,250 x $12)	–	$93,750	=	–$18,750 Unrealized loss

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MA–8.

July 2:
Dividend receivable (+A) 70,000
Investments (–A)..... 70,000
(800,000 shares x $0.25 per share x 35% ownership)

July 16:
Cash (+A) 70,000
Dividend receivable (–A)..... 70,000

December 31:
Investments (+A) 140,000
Equity in investee earnings (+R, +SE) 140,000
(35% x $400,000)

MA–9.

	Balance Sheet			Income Statement		
Transaction Date	Assets	Liabilities	Stockholders' Equity	Revenues/ Gains	Expenses/ Losses	Net Income
7/2	+70,000 –70,000					
7/16	+70,000 –70,000					
12/31	+140,000		+140,000	+140,000		+140,000

MA–10.

Cisco reports a large amount of goodwill because it has purchased other businesses, paying more than the fair market value of the net assets (assets – liabilities) of the acquired companies.

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EXERCISES

EA–1.

Req. 1

July 1:

Investments (+A)	12,000,000	
Cash (–A)		12,000,000

Req. 2

Dec 31:

Cash (+A)	480,000	
Interest revenue (+R, +SE)		480,000
($12 million x 8% x 6/12 of a year)		

EA–2.

July 1, 2024:

Investments (+A)	350,000	
Cash (–A)		350,000

Dec. 31, 2024:

Cash (+A)	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		
Investments (+A)	6,000	
Unrealized gain (+OCI, +SE)		6,000

June 30, 2025:

Cash (+A)	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		

Dec. 31, 2025:

Cash (+A)	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		
Unrealized loss (–OCI, –SE)	4,000	
Investments (–A)		4,000

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EA–2. (continued)

June 30, 2026:

Cash (+A)..	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		

Sold on June 30, 2026:

Investments (+A).	1,000	
Unrealized gain (+OCI, +SE)		1,000
Unrealized gain (–OCI, –SE)	3,000	
Gain on sale of investments (+R, +SE).		3,000
Cash (+A).	353,000	
Investments (–A).		353,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2024	$356,000	–	$350,000	=	+$6,000
2025	352,000	–	356,000	=	– 4,000
2026	353,000	–	352,000	=	+ 1,000
Net Unrealized Gains (Losses) in OCI					**+$3,000**

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EA–3.

July 1, 2024:

Investments (+A)	350,000	
Cash (–A)		350,000

Dec. 31, 2024:

Cash (+A)	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		
Investments (+A)	6,000	
Unrealized gain (+R, +SE)		6,000

June 30, 2025:

Cash (+A)	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		

Dec. 31, 2025:

Cash (+A)	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		
Unrealized loss (+E, –SE)	4,000	
Investments (–A)		4,000

June 30, 2026:

Cash (+A)	10,500	
Interest revenue (+R, +SE)		10,500
($350,000 x 0.06 x 6/12 of a year)		

Sold on June 30, 2026:

Investments (+A)	1,000	
Unrealized gain (+R, +SE)		1,000
Cash (+A)	353,000	
Investments (–A)		353,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2024	$356,000	–	$350,000	=	+$6,000

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2025	352,000	–	356,000	=	– 4,000
2026	353,000	–	352,000	=	+ 1,000

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EA–4.

March 10, 2023:
Investments (+A) (15,000 shares x $35) 525,000
Cash (–A)..... 525,000

Dec. 31, 2023:
Unrealized loss (+E, –SE) 30,000
Investments (–A)..... 30,000

Dec. 31, 2024:
Investments (+A) 45,000
Unrealized gain (+R, +SE)..... 45,000

Dec. 31, 2025:
Unrealized loss (+E, –SE) 60,000
Investments (–A)..... 60,000

Sept. 12, 2026:
Unrealized loss (+E, –SE) 30,000
Investments (–A)..... 30,000

Cash (+A) 450,000
Investments (–A)..... 450,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2023	$495,000 ($33 x 15,000) shares	–	$525,000 ($35 x 15,000 shares)	=	–$30,000
2024	540,000 ($36 x 15,000 shares)	–	495,000 (from prior fair value)	=	+ 45,000
2025	480,000 ($32 x 15,000 shares)	–	540,000 (from prior fair value)	=	– 60,000
2026	450,000 ($30 x 15,000 shares)	–	480,000 (from prior fair value)	=	– 30,000

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EA–5.

Req. 1

The equity method is applied when there is at least 20% but not more than 50% ownership of an investee's voting stock. At these levels of ownership, it is presumed that the investor can exercise significant influence, but not control, over the operating and financing policies of the investee. Since Gioia acquired 27.5% (17,875 ÷ 65,000) of the common stock outstanding of Tristezza Corporation, the company should apply the equity method in accounting for and reporting this investment.

Req. 2

January 10:

Investments (+A)	196,625	
Cash (–A)		196,625
(17,875 shares x $11 per share) → 27.5% of the common stock		

December 31:

(a) Investments (+A)	22,000	
Equity in investee earnings (+R, +SE)		22,000
($80,000 investee income x 27.5% = $22,000)		
(b) Dividends receivable (+A)	10,725	
Investments (–A).		10,725
(17,875 shares owned x $0.60 dividend per share = $10,725)		
(c) Cash (+A)	10,725	
Dividends receivable (–A).		10,725

(d) No entry is made under the equity method to record changes in fair value.

Req. 3

Balance Sheet—At December 31, Current Year

Long-term Investments:

Investments (equity basis*)	$207,900

Income Statement—For the Current Year Ended December 31

Equity in investee earnings	$ 22,000

*

Investments in Affiliates		
Cost	196,625	

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% Investee's net income	22,000	10,725	% Investee's dividends declared
	207,900		

EA–6.

Req. 1 Investing activities

Purchase of investments in affiliated companies	$(196,625)

Req. 2 Operating activities

Net Income	$ xxxxx
Adjusted for:	
Equity in investee earnings (since no cash received)	(22,000)
Dividends received from affiliated companies (cash received but not included in net income)	10,725

EA-7.

	Method of Measurement	
	Fair Value Method	*Equity Method*
a	Less than 20%.	At least 20% but not more than 50%.
b	Company A owns 12.5% (2,500 ÷ 20,000 shares) of Company B. Company A should recognize revenue: (1) when Company B declares a cash dividend and (2) for any unrealized holding gains and losses on the investment in equity securities.	Company A owns 35% (7,000 ÷ 20,000 shares) of Company B. Company A should recognize revenue when Company B reports income or loss for the period; not when dividends are declared or paid.
c	Company A should increase or decrease the investment account based on stock price changes (to fair value).	Company A should increase the investment account for its proportionate part of investee's income, less proportionate part of dividends and losses of Company B.
d	At cost: 2,500 shares x $20 = $50,000.	At cost: 7,000 shares x $20 = $140,000.
e	2,500 shares x $17 = $42,500 fair value.	Cost of $140,000 plus $20,650 ($59,000 x 35%) equity in investee's earnings minus $4,200 ($12,000 x 35%) dividends declared equals $156,450.
f	(1) $12,000 dividends declared x 12.5% = $1,500 dividend revenue for Company A (2) In addition, there is an unrealized loss of $7,500 ($50,000 book value - $42,500 fair value) to be reported by Company A on its income statement.	Company B net income $59,000 x 35% = $20,650 equity in income of investee.

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g	2,500 shares x ($20 – $17) = $7,500 unrealized loss reported in net income.	None.

EA–8.

(in millions)

Assets (+A, *not detailed*).	625	
Goodwill (+A) [$966 – ($625 assets – $70 liabilities)].....	411	
Liabilities (+L, *not detailed*)		70
Cash (–A)		966

EA–9. (Appendix Supplement)

Req. 1

July 1:

Investments (+A)	13,785,346	
Cash (–A)		13,785,346

(Present value of the bond = PV of the principal + PV of the interest annuity
$13,785,346 = ($12,000,000 x .55368) + ($480,000 x 14.87747))

Req. 2

December 31:

Cash (+A)	480,000	
Investments (–A).....		66,440
Interest revenue (+R, +SE).....		413,560

(Cash = $12,000,000 principal x .08 x 6/12 months = $480,000
Interest revenue = $13,785,346 carrying value x .06 x 6/12 months = $413,560)

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PROBLEMS

PA–1.

Req. 1

When the bonds are purchased, the company increases Investments and decreases Cash.

Req. 2

When interest is received on the bonds, Cash increases and Interest Revenue increases. The bonds were purchased at par; the Investments account is not affected.

Req. 3

No journal entry is required. A decrease in the fair value of bonds in the held-to-maturity portfolio is not recorded. Bond investments held-to-maturity are accounted for using the amortized cost method.

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PA–2.

Req. 1

March 31, 2024:

Cash (+A)	1,000	
Interest revenue (+R, +SE)		1,000

($80,000 x 0.05 x 3/12 of a year)

Req. 2

December 31, 2024 (trading securities):

Unrealized loss (+E, –SE)	2,000	
Investments (–A)		2,000

December 31, 2025 (trading securities):

Investments (+A)	9,000	
Unrealized gain (+R, +SE)		9,000

December 31, 2026 (trading securities):

Unrealized loss (+E, –SE)	6,000	
Investments (–A)		6,000

July 14, 2027 (trading securities):

Investments (+A)	2,000	
Unrealized gain (+R, +SE)		2,000
Cash (+A)	83,000	
Investments (–A)		83,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2024	$78,000	–	$80,000	=	–$2,000
2025	87,000	–	78,000	=	+ 9,000
2026	81,000	–	87,000	=	– 6,000
In 2027	83,000	–	81,000	=	+ 2,000

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PA–2. (continued)

Req. 3

December 31, 2024 (available-for-sale securities):		
Unrealized loss (–OCI, –SE).	2,000	
Investments (–A).....		2,000
December 31, 2025 (available-for-sale securities):		
Investments (+A)	9,000	
Unrealized gain (+OCI, +SE).		9,000
December 31, 2026 (available-for-sale securities):		
Unrealized loss (–OCI, –SE)	6,000	
Investments (–A)		6,000
July 14, 2027 (available-for-sale securities):		
Investments (+A)	2,000	
Unrealized gain (+OCI, +SE).		2,000
Unrealized gain (–OCI, –SE).....	3,000	
Gain on sale of investments (+R, +SE).....		3,000
Cash (+A).....	83,000	
Investments (–A).....		83,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2024	$78,000	–	$80,000	=	–$2,000
2025	87,000	–	78,000	=	+ 9,000
2026	81,000	–	87,000	=	– 6,000
In 2027	83,000	–	81,000	=	+ 2,000
			Net unrealized gain in OCI		**+$3,000**

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PA–3.

Req. 1

The fair value method must be used for both securities:
(1) For D-Light common stock, only 15% of the outstanding shares is owned (below the 20% limit), and it is assumed there is no significant influence or control.
(2) Fluorescent bonds are passive investments not intended to be held to maturity.

Req. 2

	2023		2024	
a. Purchase of the investments:				
Investments (+A).....	556,750			
Cash (–A)		556,750		
D-Light common stock: 14,250 shares x $11 = $ 156,750				
Fluorescent bonds: at par = 400,000				
Total investment..... $556,750				
b. Income reported by both companies: No entry is required for either security because, under the fair value method, revenue is recognized only when dividends are declared or interest is earned.				
c. Dividends/interest received:				
Cash (+A)	35,125		37,975	
Dividend revenue (+R, +SE)		7,125		9,975
Interest revenue (+R, +SE).....		28,000		28,000
2023 D-Light dividends: 14,250 shares x $0.50 = $7,125				
2024 D-Light dividends: 14,250 shares x $0.70 = $9,975				
d. Fair value effects at year end:				
Unrealized loss/gain [stock] (+E,-SE/+R,+SE)	14,250			21,375
Unrealized loss/gain [bonds] (–OCI,-SE/+OCI,+SE)	25,000			10,000
Investments (–A/+A) ……		39,250	31,375	

Computations:

Year	Company	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2023	D-Light	$142,500	–	$156,750	=	–$14,250
	Fluorescent	375,000	–	400,000	=	– 25,000
		517,500				– 39,250
2024	D-Light	163,875	–	142,500	=	+21,375
	Fluorescent	385,000	–	375,000	=	+10,000

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548,875	+31,375

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PA–3. (continued)

Req. 3

		2023	2024
a.	Balance Sheet (as a noncurrent asset):		
	Investments	$517,500	$548,875
b.	Other Comprehensive Income:		
	Unrealized gain (loss)*	(25,000)	10,000
c.	Income Statement (under Other Items):		
	Dividend revenue	7,125	9,975
	Interest revenue	28,000	28,000
	Unrealized (loss)/gain	(14,250)	21,375

* On the Statement of Comprehensive Income, unrealized gains/losses accumulate. For 2024, the net unrealized loss =

($25,000) unrealized loss from 2023
+ 10,000 unrealized gain from 2024
($15,000) net unrealized loss

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PA–4.

Req. 1

Aug. 4, 2024	Investments (+A)	180,000	
	Cash (–A)		180,000
Dec. 31, 2024	Unrealized loss (+E, –SE)	10,000	
	Investments (–A)		10,000
June 1, 2025	Dividends receivable (+A)	7,000	
	Dividend revenue (+R, +SE)		7,000
	[2,000 shares x $3.50 per share]		
July 1, 2025	Cash (+A)	7,000	
	Dividends receivable (–A)		7,000
Dec. 31, 2025	Investments (+A)	12,000	
	Unrealized gain (+R, +SE)		12,000
June 1, 2026	Dividends receivable (+A)	7,000	
	Dividend revenue (+R, +SE)		7,000
July 1, 2026	Cash (+A)	7,000	
	Dividends receivable (–A)		7,000
Dec. 31, 2026	Investments (+A)	6,000	
	Unrealized gain (+R, +SE)		6,000

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Computations for Year-End Adjustments to Market:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2024	$170,000 ($85 x 2,000 shares)	–	$180,000	=	–$10,000
2025	182,000 ($91 x 2,000 shares)	–	170,000 (from prior fair value)	=	+12,000
2026	188,000 ($94 x 2,000 shares)	–	182,000 (from prior fair value)	=	+6,000

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PA–4. (continued)

Req. 2

Aug. 4, 2024	Investments (+A)	180,000	
	Cash (–A)		180,000
Dec. 31, 2024	Investments (+A)	9,000	
	Equity in investee earnings (+R, +SE)		9,000
	(30% x $30,000)		
June 1, 2025	Dividends receivable (+A) [2,000 shares x $3.50 per share]….	7,000	
	Investments (–A)		7,000
July 1, 2025	Cash (+A)	7,000	
	Dividends receivable (–A)		7,000
Dec. 31, 2025	Investments (+A)	9,000	
	Equity in investee earnings (+R, +SE)		9,000
	(30% x $30,000)		
June 1, 2026	Dividends receivable (+A)	7,000	
	Investments (–A)		7,000
July 1, 2026	Cash (+A)	7,000	
	Dividends receivable (–A)		7,000
Dec. 31, 2026	Investments (+A)	9,000	
	Equity in investee earnings (+R, +SE)		9,000

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(30% x $30,000)

PA–5.

Req. 1

CASE A The fair value method must be used by Company P because it owns 12% (3,000 ÷ 25,000) of the total outstanding common shares of Company T. The fair value method must be used when less than 20% of the outstanding shares are owned and it is presumed that the investor (Company P) cannot exercise significant influence or control.

CASE B The equity method must be used by Company P because it owns 35% (8,750 ÷ 25,000) of the outstanding common shares of Company T. The equity method must be used if the level of ownership is at least 20% but not more than 50% and it is presumed that the investor (Company P) can exercise significant influence, but not control, over the operating and financing policies of Company T.

PA–5. (continued)

Req. 2

	Case A-12%		*Case B-35%*	
a. January 1 purchase:				
Investments (+A)	75,000			
Cash (–A)		75,000		
(3,000 shares x $25)				
Investments (+A)			218,750	
Cash (–A)				218,750
(8,750 shares x $25)				
b. Income reported by Company T:	None[1]			
Investments (+A)			15,750	
Equity in investee earnings (+R, +SE) ($45,000 x 35%)				15,750
c. Dividends declared and then paid by Co. T:				
Dividends receivable (+A)	1,980			

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Dividend revenue (+R, +SE)		1,980		
($16,500 x 12%)				
Cash (+A)	1,980			
Dividends receivable (–A)		1,980		
Dividends receivable (+A)			5,775	
Investments (–A)				5,775
($16,500 x 35%)				
Cash (+A)			5,775	
Dividends receivable (–A)				5,775

d. Unrealized loss (+E, –SE) ..... 9,000 None[2]
Investments (–A)..... 9,000
3,000 shares x ($22 fair value – $25 cost) = –$9,000.

[1] Not recorded under the fair value method. [2] Not recorded under the equity method.

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PA–5. (continued)

Req. 3

	Case A-12%	*Case B-35%*
Balance Sheet (noncurrent assets):		
Investments	$66,000 (1)	$228,725 (2)
Income Statement (Other items):		
Dividend revenue	1,980	
	(9,000)	
Unrealized loss		15,750
Equity in investee earnings		

(1) Cost $75,000 – Year-end adjustment to fair value $9,000 = $66,000 fair value

(2) Cost $218,750 + % Affiliate's net income $15,750 – % Affiliate's dividends declared $5,775 = $228,725 book value

Req. 4

Assets and revenues are different because the accounting treatment corresponds to the amount of "control" an investor has over the investee. For a passive investment (< 20% ownership), it is presumed the investor cannot influence the investee's activities. Thus, Company P records dividends declared by Company T as revenue, but also it is required to adjust the investment in Company T to fair value, with the change in value recorded as unrealized gain/(loss) on the income statement.

If an investor has significant influence over an investee (20% ≤ ownership < 50%), the investor uses the equity method. Under the equity method, an investor adjusts the Investment account (asset) for its proportion of the investee's activities that typically affect retained earnings (equity) – net income and dividends declared. So, Company P increases the Investment account for its share of Company T's net income and records this as revenue on the income statement; and it reduces the Investment account for its share of Company T's dividends.

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PA–6.

a. Investments (+A)	15,685	
Cash (–A)		15,685
b. Dividends receivable (+A)	8,564	
Investments (-A)		8,564
c. Investments (+A)	3,897	
Equity in investee earnings (+R, +SE).....		3,897

d. **Balance Sheet** (noncurrent assets):

Investments $67,450

e. **Income Statement** (Other items):

Equity in investee earnings $ 3,897

PA–7.

Since Bradford Company acquired 45% (40,500/90,000) of Hall's outstanding common stock, this investment is accounted for using the equity method.

Statement of Cash Flows:

Operating activities	
Net Income	$ xxx,xxx
Adjusted for:	
Equity in investee earnings *(no cash received*) (2)	(96,750)
Dividends received from investee *(cash received, but not included as revenue under the equity method)* (3)	60,750
Investing activities	
Purchase of investments (1)	(1,215,000)

(Note that the change in fair value does not have any effect on the cash flow

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statement because the equity method is used for investments involving significant influence)

(1) 40,500 shares x $30 per share = $1,215,000
(2) $215,000 net income of Hall x 0.45 ownership interest = $96,750
(3) 40,500 shares x $1.50 dividend per share = $60,750

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PA–8.

Req. 1

Purchase price for the net assets	$145,000
Fair value of net assets acquired*	- 95,000
Goodwill purchased	$ 50,000

*$23,000 cash + $85,000 fair value of property and equipment + $3,000 fair value of patent – $16,000 liabilities = $95,000

Req. 2

Property and equipment (+A)	85,000	
Patent (+A)	3,000	
Goodwill (+A)	50,000	
Liabilities *(not detailed)* (+L)		16,000
Cash (–A) ($145,000 paid - $23,000 received).....		122,000

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ALTERNATE PROBLEMS

APA–1.

Req. 1

When the bonds were purchased, the company increased Investments and decreased Cash.

Req. 2

When interest was received on the investments, Cash increased (based on the stated rate) and Interest Revenue increased. Because the bonds were purchased at par, there is no effect on the Investments account.

Req. 3

No journal entry is required for the increase in fair value of the bonds. Bonds in the held-to-maturity portfolio are measured and reported at amortized cost.

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APA–2.

Req. 1

December 31, 20x1:

Cash (+A)	1,700	
Interest revenue (+R, +SE)		1,700
($170,000 x 0.04 x 3/12 of a year)		

Req. 2

December 31, 20x1 (trading securities):

Investments (+A)	3,000	
Unrealized gain (+R, +SE)		3,000

December 31, 20x2 (trading securities):

Unrealized loss (+E, –SE)	5,000	
Investments (–A)		5,000

December 31, 20x3 (trading securities):

Unrealized loss (+E, –SE)	3,000	
Investments (–A)		3,000

March 17, 20x4 (trading securities):

Unrealized loss (+E, –SE)	1,000	
Investments (–A)		1,000

Cash (+A)	164,000	
Investments (–A)		164,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
20x1	$173,000	–	$170,000	=	+$3,000
20x2	168,000	–	173,000	=	– 5,000
20x3	165,000	–	168,000	=	– 3,000
In 20x4	164,000	–	165,000	=	– 1,000

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APA–2. (continued)

Req. 3

December 31, 20x1 (available-for-sale securities):		
Investments (+A)	3,000	
Unrealized gain (+OCI, +SE)		3,000
December 31, 20x2 (available-for-sale securities):		
Unrealized loss (–OCI, –SE)	5,000	
Investments (–A)		5,000
December 31, 20x3 (available-for-sale securities):		
Unrealized loss (–OCI, –SE)	3,000	
Investments (–A)		3,000
March 17, 20x4 (available-for-sale securities):		
Unrealized loss (–OCI, –SE)	1,000	
Investments (–A)		1,000
Loss on sale of investments (+E, –SE)	6,000	
Unrealized loss (+OCI, +SE)		6,000
Cash (+A)	164,000	
Investments (–A)		164,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
20x1	$173,000	–	$170,000	=	+$3,000
20x2	168,000	–	173,000	=	– 5,000
20x3	165,000	–	168,000	=	– 3,000
In 20x4	164,000	–	165,000	=	– 1,000
			Net unrealized loss in OCI		– 6,000

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APA–3.

Req. 1

The fair value method must be used for both securities:
(1) For Square common stock, only 6% (12,000 shares / 200,000 shares) of the outstanding shares is owned (below the 20% limit), and it is assumed there is no significant influence or control.
(2) Rectangle bonds are passive investments not intended to be held to maturity.

Req. 2

	2023		2024	
a. Purchase of the investments:				
Investments (+A).....	500,000			
Cash (–A)		500,000		

Square common stock: 12,000 shares x $25 = $ 300,000
Rectangle bonds: at par = 200,000
Total investment..... $500,000

b. Income reported by both companies: No entry is required for either security because, under the fair value method, revenue is recognized only when dividends are declared or interest is earned.

	2023		2024	
c. Dividends/interest received:				
Cash (+A)	19,000		22,000	
Dividend revenue (+R, +SE)		9,000		12,000
Interest revenue (+R, +SE)		10,000		10,000

2023 Square dividends: 12,000 shares x $0.75 = $ 9,000
2024 Square dividends: 12,000 shares x $1.00 = $12,000

	2023		2024	
d. Fair value effects at year end:				
Unrealized gain/loss [stock] (+R,+SE/+E,-SE)		48,000	54,000	
Unrealized gain [bonds] (+OCI,+SE)		10,000		15,000
Investments (+A/-A) ……	58,000			39,000

Computations:

Year	Company	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2023	Square	$348,000	–	$300,000	=	+$48,000
	Rectangle	210,000	–	200,000	=	+10,000
		558,000				+58,000
2024	Square	294,000	–	348,000	=	–54,000

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Rectangle	225,000	–	210,000	=	+15,000
	519,000				–39,000

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APA–3. (continued)

Req. 3

		2023	2024
a.	Balance Sheet (as a noncurrent asset):		
	Investments	$558,000	$519,000
b.	Other Comprehensive Income:		
	Unrealized gain*	10,000	5,000
c.	Income Statement (under Other Items):		
	Dividend revenue	9,000	12,000
	Interest revenue	10,000	10,000
	Unrealized gain/(loss)	48,000	(54,000)

* On the Statement of Comprehensive Income, unrealized gains/losses accumulate for available-for-sale securities. For 2024, the net unrealized gain equals:

$10,000 unrealized gain from 2023
+ 15,000 unrealized gain from 2024
$25,000

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APA-4

Req. 1

Mar. 31, 20x1	Investments (+A)	250,000	
	Cash (–A)		250,000
Nov. 1, 20x1	Dividends receivable (+A)	8,000	
	Dividend revenue (+R, +SE)		8,000
	[4,000 shares x $2.00 per share]		
Dec. 1, 20x1	Cash (+A)	8,000	
	Dividends receivable (–A)		8,000
Dec. 31, 20x1	Investments (+A)	10,000	
	Unrealized gain (+R, +SE)		10,000
Nov. 1, 20x2	Dividends receivable (+A)	8,000	
	Dividend revenue (+R, +SE)		8,000
Dec. 1, 20x2	Cash (+A)	8,000	
	Dividends receivable (–A)		8,000
Dec. 31, 20x2	Unrealized loss (+E, –SE)	8,000	
	Investments (–A)		8,000
Nov. 1, 20x3	Dividends receivable (+A)	8,000	
	Dividend revenue (+R, +SE)		8,000

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Dec. 1, 20x3	Cash (+A)	8,000	
	Dividends receivable (–A)		8,000
Dec. 31, 20x3	Investments (+A)	4,000	
	Unrealized gain (+R, +SE)		4,000

Computations for Year-End Adjustments to Market:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
20x1	$260,000 ($65 x 4,000 shares)	–	$250,000	=	+$10,000
20x2	252,000 ($63 x 4,000 shares)	–	260,000 (from prior fair value)	=	–8,000
20x3	256,000 ($64 x 4,000 shares)	–	252,000 (from prior fair value)	=	+4,000

APA–4. (continued)

Req. 2

Mar. 31, 20x1	Investments (+A)	250,000	
	Cash (–A)		250,000
Nov. 1, 20x1	Dividends receivable (+A)	8,000	
	Investments (–A)		8,000
	[4,000 shares x $2.00 per share]		
Dec. 1, 20x1	Cash (+A)	8,000	
	Dividends receivable (–A)		8,000
Dec. 31, 20x1	Investments (+A)	48,000	

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	Equity in investee earnings (+R, +SE)		48,000
	(40% x $120,000)		
Nov. 1, 20x2	Dividends receivable (+A)	8,000	
	Investments (–A)		8,000
Dec 1, 20x2	Cash (+A)	8,000	
	Dividends receivable (–A)		8,000
Dec. 31, 20x2	Investments (+A)	48,000	
	Equity in investee earnings (+R, +SE)		48,000
	(40% x $120,000)		
Nov. 1, 20x3	Dividends receivable (+A)	8,000	
	Investments (–A)		8,000
Dec. 1, 20x3	Cash (+A)	8,000	
	Dividends receivable (–A)		8,000
Dec. 31, 20x3	Investments (+A)	48,000	
	Equity in investee earnings (+R, +SE)		48,000
	(40% x $120,000)		

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APA–5.

Req. 1

CASE A The fair value method must be used when less than 20% of the outstanding shares are owned and it is presumed that the investor cannot exercise significant influence or control. Cardinal Corporation owns 5% (10,000 ÷ 200,000) of the total outstanding common shares of Arbor Company.

CASE B The equity method must be used if the level of ownership is at least 20% but not more than 50% and it is presumed that the investor can exercise significant influence, but not control, over the operating and financing policies of the investee. Cardinal Corporation owns 42% (84,000 ÷ 200,000) of the outstanding common shares of Arbor Company.

Req. 2

	Case A-5%		*Case B-42%*	
a. January 10 purchase:				
Investments (+A)	120,000			
Cash (–A)		120,000		
(10,000 shares x $12)				
Investments (+A)			1,008,000	
Cash (–A)				1,008,000
(84,000 shares x $12)				
b. Income reported by Arbor:	None[1]			
Investments (+A)			37,800	
Equity in investee earnings (+R, +SE) ($90,000 x 42%)				37,800
c. Dividends declared and then paid by Arbor:				
Dividends receivable (+A) ($15,000 x 5%)	750			
Dividend revenue (+R, +SE)		750		
Cash (+A)	750			
Dividends receivable (–A)		750		

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	Dividends receivable (+A) ($15,000 x 42%)		6,300	
	Investments (–A)			6,300
	Cash (+A)		6,300	
	Dividends receivable (–A)			6,300
d.	Investments (+A)	20,000	None[2]	
	Unrealized gain (+R, +SE)		20,000	
	[10,000 shares x ($14 fair value – $12 cost) = +$20,000]			

[1] Not recorded under the fair value method. [2] Not recorded under the equity method.

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APA–5. (continued)

Req. 3

	Case A-5%	*Case B-42%*
Balance Sheet (noncurrent assets):		
Investments	$140,000 (1)	$1,039,500 (2)
.....		
Income Statement (Other items):		
Dividend revenue	750	
.....	20,000	
Unrealized gain		37,800
.....		
Equity in investee earnings		
.....		

(1) Cost $120,000 + Year-end adjustment to fair value $20,000 = $140,000 fair value

(2) Cost $1,008,000 + % Affiliate's net income $37,800 – % Affiliate's dividends declared $6,300 = $1,039,500 book value

Req. 4

Assets and revenues are different because the accounting treatment corresponds to the amount of "control" an investor has over the investee. For a passive investment

(< 20% ownership), it is presumed the investor cannot influence the investee's activities. Thus, Cardinal Corporation records dividends received from Arbor Company as revenue, but also it is required to adjust the investment in Arbor Company to fair value, with the change in value recorded as unrealized gain/(loss) on the income statement.

If an investor has significant influence over an investee (20% ≤ ownership < 50%), the investor uses the equity method. Under the equity method, an investor adjusts the Investment account (asset) for its proportion of the investee's activities that typically affect retained earnings (equity) – net income and dividends declared. So, Cardinal Corporation increases the Investment account for its share of Arbor Company's net income and records this as revenue on the income statement; and it reduces the Investment account for its share of Arbor Company's dividends.

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APA–6.

a. Investments (+A)	34,990	
Cash (–A)		34,990
b. Dividends receivable (+A)	6,210	
Investments (-A)		6,210
c. Investments (+A)	121,593	
Equity in investee earnings (+R, +SE).....		121,593

d. **Balance Sheet** (noncurrent assets):

Investments $472,025

e. **Income Statement** (Other items):

Equity in investee earnings $121,593

APA–7.

On the Statement of Cash Flows:

	Case A	*Case B*
Operating Activities:		
Net income	$ xxx,xxx	$xxx,xxx
Adjusted for:		
Equity in investee earnings (no cash received)		(37,800)
Dividends received (cash received, but not included as revenue under the equity method)		6,300
Unrealized gain (on passive equity securities)_	(20,000)	
Investing Activities:		
Purchase of investments	(120,000)	(1,008,000)

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APA–8.

Req. 1

Purchase price for the net assets	$140,000
Fair value of net assets acquired*	110,000
Goodwill purchased	$ 30,000

*($12,000 inventory + $180,000 property and equipment – $82,000 liabilities)

Req. 2

Inventory (+A)	12,000	
Property and equipment (+A)	180,000	
Goodwill (+A)	30,000	
Liabilities *(not detailed)* (+L)		82,000
Cash (–A)		140,000

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CONTINUING PROBLEM

CONA-1.

Req. 1 (passive investment in equity securities – Pool Corporation owns less than 1% of outstanding shares of The Walt Disney Company)

November 21, 2023:

Investments (+A)	4,120,000	
Cash (–A)		4,120,000

Dec. 31, 2023:

Unrealized loss (+E, –SE)	120,000	
Investments (–A)		120,000

Dec. 31, 2024:

Investments (+A)	200,000	
Unrealized gain (+R, +SE)		200,000

Dec. 31, 2025:

Unrealized loss (+E, –SE)	40,000	
Investments (–A)		40,000

Sept. 15, 2026:

Adjustment to fair value:

Investments (+A)	80,000	
Unrealized gain (+R, +SE)		80,000

Sale:

Cash (+A)	4,240,000	
Investments (–A)		4,240,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2023	$4,000,000 ($100 x 40,000 shares)	–	$4,120,000 ($103 x 40,000 shares)	=	–$120,000
2024	4,200,000 ($105 x 40,000 shares)	–	4,000,000 (from prior fair value)	=	+ 200,000
2025	4,160,000 ($104 x 40,000 shares)	–	4,200,000 (from prior fair value)	=	– 40,000
In 2026	4,240,000 ($106 x 40,000 shares)	–	4,160,000 (from prior fair value)	=	+80,000

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CONA-1. (continued)

Req. 2 (investment in available-for-sale debt securities)

November 21, 2023:

Investments (+A)	4,120,000	
Cash (–A)		4,120,000

Dec. 31, 2023:

Investments (+A)	1,000	
Unrealized gain (+OCI, +SE)		1,000

Dec. 31, 2024:

Unrealized loss (–OCI, –SE)	6,000	
Investments (–A)		6,000

Dec. 31, 2025:

Investments (+A)	9,000	
Unrealized gain (+OCI, +SE)		9,000

Sept. 15, 2026:

Adjustment to fair value:

Investments (+A)	6,000	
Unrealized gain (+OCI, +SE)		6,000

Reclassification of net unrealized gain:

Unrealized gain (–OCI, –SE)	10,000	
Gain on sale of investments (+R, +SE)		10,000

Sale of investments:

Cash (+A)	4,130,000	
Investments (–A)		4,130,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2023	$4,121,000	–	$4,120,000	=	+$1,000
2024	4,115,000	–	4,121,000	=	– 6,000
2025	4,124,000	–	4,115,000	=	+9,000
In 2026	4,130,000	–	4,124,000	=	+6,000
			Net unrealized gain in OCI prior to sale		+$10,000

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CONA-1. (continued)

Req. 3 (investment in trading securities)

November 21, 2023:
Investments (+A) 4,120,000
Cash (–A)..... 4,120,000

Dec. 31, 2023:
Investments (+A) 1,000
Unrealized gain (+R, +SE)..... 1,000

Dec. 31, 2024
Unrealized loss (+E, –SE) 6,000
Investments (–A)..... 6,000

Dec. 31, 2025:
Investments (+A) 9,000
Unrealized gain (+R, +SE)..... 9,000

Sept. 15, 2026:
Adjustment to fair value:
Investments (+A) 6,000
Unrealized gain (+R, +SE) 6,000

Sale of investments:
Cash (+A) 4,130,000
Investments (–A) 4,130,000

Computations:

Year	Fair Value	–	Book Value before Adjustment	=	Amount for Adjusting Entry
2023	$4,121,000	–	$4,120,000	=	+$1,000
2024	4,115,000	–	4,121,000	=	– 6,000
2025	4,124,000	–	4,115,000	=	+9,000
In 2026	4,130,000	–	4,124,000	=	+6,000

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CASES AND PROJECTS

ANNUAL REPORT CASES

CPA–1

1. c (found in Note 8)
2. a, b, c (found in Note 8)
3. d
4. c (found in Note 13)

CPA–2. (dollars in millions)

1. $28,983
2. Other long-term assets (found in Note 1)
3. Held-to-maturity
4. c
5. a. Acquisition method

   b. Journal entry:

	Debit	Credit
Current assets (+A) *(not detailed)*	1.2	
Tradenames (+A)	4.7	
Technology (+A)	0.3	
Goodwill (+A)	13.5	
Liabilities (+L) *(not detailed)*		3.7
Cash (-A)		16.0

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FINANCIAL REPORTING AND ANALYSIS CASES

CPA–3.

Req. 1

Under the equity method, the investment amount (i.e., $485,000) was increased by the proportionate share in income reported by the affiliate corporation and decreased by the proportionate share of the dividends declared by the affiliate corporation. Thus, the increase in the investment account was caused by an excess of investment income over dividends received.

Req. 2

The net increase in the investment account was $71,000 ($556,000 – $485,000). Dividends during the current year reduced the investment account by $90,000; therefore, investment revenue must be $161,000 ($90,000 + $71,000).

Req. 3

If the fair value method were used, investment revenue for the current year would be $90,000 (the amount of dividends received) plus the unrealized gain of $65,000 ($550,000 - $485,000).

Req. 4

The fair value of Maryn stock increased during the current year; therefore, the amount of the investment account balance would be $550,000.

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CPA–4.

a. Investments (+A)	50,000	
Cash (–A)		50,000
b. Cash (+A)	3,000	
Interest revenue (+R, +SE).....		3,000
c. *Adjustment to fair value:*		
Investments (+A)	1,500	
Unrealized gains (+OCI, +SE)		1,500
Reclassification of unrealized gains in OCI:		
Unrealized gains (–OCI, –SE)	1,600	
Gain on sale of investments (+R, +SE)		1,600
Sale of investments:		
Cash (+A)	31,500	
Investments (–A)		31,500
d. Investments (+A)	1,200	
Unrealized gain (+OCI, +SE).....		1,200

Fair Value	-	Book Value Before Adjustment	=	Amount of Adjusting Entry
$31,200	-	$30,000	=	+$1,200
	($10,000 beg. bal. + $50,000 purchase + $1,500 sale adjust. - $31,500 sale)			

e. **Balance Sheet**

Assets (noncurrent):

Investments $31,200

f. **Income Statement**

Other Items:

Gain on sale of investments $ 1,600

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Interest revenue 3,000

g. If the securities were categorized as trading securities, the balance sheet amount of $31,200 would be classified as current assets. When the securities are sold in (c), only two entries would be recorded: (1) the adjustment to fair value of $1,500 (but not as a component of Other Comprehensive Income) and (2) the sale. There would be no reclassification of prior unrealized gains. The unrealized gain of $1,500 would be reported on the income statement. When the securities are adjusted at year-end to the fair value of $31,200 in (d), the unrealized gain of $1,200 would be recorded on the income statement, not through Other Comprehensive Income.

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CRITICAL THINKING CASES

CPA–5.

This case deals with insider (non-public) information. The plan to acquire 80% of another company is significant because, when announced, it will affect the stock price of the other company. It is wrong both legally and ethically to trade on insider information regardless of the size of your proposed investment. It is also wrong to pass insider information on to another individual even if you do not profit directly from the information.

CPA–6.

The assets, liabilities, revenues, and expenses of the two companies will be added together. It is unlikely that the two companies have significant intercompany transactions such as intercompany sales. The analyst cannot simply add the two financial statements together because the investment account must be eliminated and the assets of the acquired company stated at their fair value. Unfortunately, this information is not available publicly.

YOU AS ANALYST: ONLINE COMPANY RESEARCH

CPA–7.

The solutions to this project will depend on the company and/or accounting period selected for analysis.

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